



# Localized vs. Translated Micro-Short Dramas:

## A Cross-Regional Analysis of Revenue Performance, Platform Strategies, and Cultural Adaptation of Chinese Micro-Short Drama Companies in Global Markets

August 9, 2025

Presenter: Xu Wang (Mat)  
Peking University HSBC Business School

# Background Introduction



Chinese short dramas are experiencing high growth in global markets:

## Rapid Growth in Market

In the first three quarters of 2024, global short drama downloads reached 194 million, up 1563% year-on-year, with net revenue of \$234 million, a 1683% increase (Guolian Securities). Over 100 short drama apps were launched from August 2022 to June 2024, generating \$252 million in revenue and 148 million downloads (DianDian Data).

## Top Apps Dominate

Over 100 active short drama apps exist, with **ReelShort**, **DramaBox** and **ShortMax** accounting for 87% of downloads and 82% of net revenue from top apps. Active apps grew 30% in Q1 2024, and the number of dramas on leading platforms increased 10 times compared to Q2 2023 (TikTok for Business).



## U.S. Market Dominates

The U.S. represents 55.56% of in-app purchase revenue, totaling \$142 million, and 20% of global downloads with 30.12 million downloads (Short Drama Studio). The market potential is huge, with projections of reaching billions in market size and 200-300 million monthly active users (TikTok for Business).

## Hits Drive Revenue

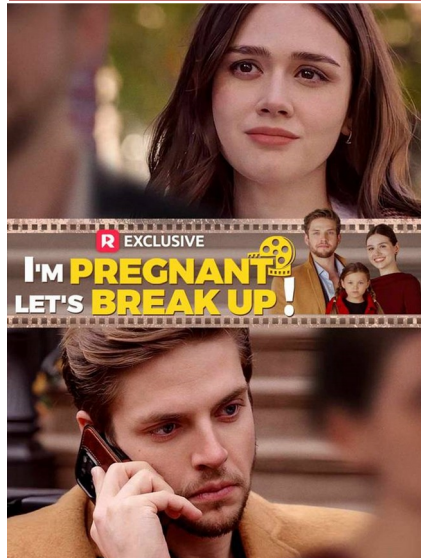
Hits like *Fated To My Forbidden Alpha* and *Never Divorce a Secret Billionaire Heiress* have significantly boosted the recognition and revenue of Reelshort.

## 1) Defining: Micro-Short Drama

The concept of micro-short drama is relatively nascent, having only emerged in China in 2022. Consequently, academic research on this field remains limited, and a universally accepted definition is still lacking. China's National Radio and Television Administration (2022) defines micro-short dramas as episodic content (30 seconds–15 minutes per episode) with coherent narratives, low production costs, and niche appeal.

Despite definitional variations, scholars agree on their core traits: **hyper-condensed storytelling**, **trope-driven plots**, and **algorithmically targeted distribution**.

**In television globalization, localization is a cornerstone strategy.**



### Localized Drama

Direct localization of domestic series through language dubbing/subtitling and cultural adaptation (Chen, 2009).

VS

### Translated Drama

Original productions tailored to the cultural context of target markets, embedding local narratives, symbols, and values. Original contents tailored to the cultural context of target markets (Hu, 2001).



Translated dramas dominate the global supply (**90%** of translated vs. **10%** of localized dramas).

# Background Introduction



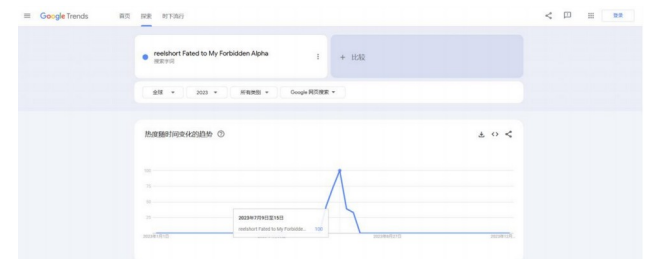
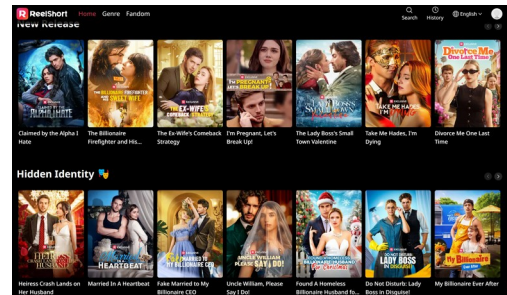
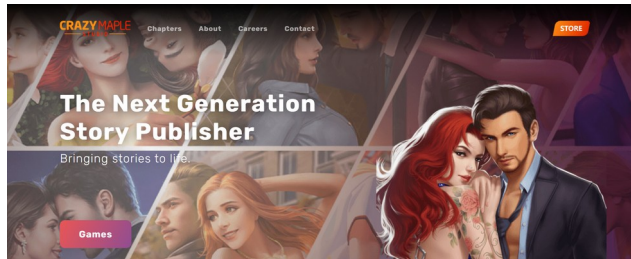
## Core Commercial Model: Localized + Translated Dramas

### ReelShort: Focus on North America, with Hits Driving Growth

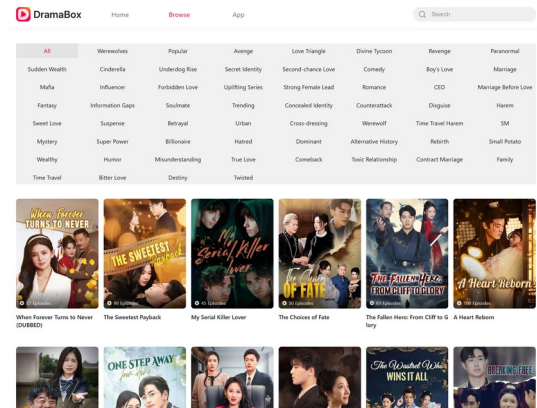
Crazy Maple Studio launched the female-focused interactive novel platform Chapters and the web novel platform Kiss, together with ReelShort. This allowed them to gather valuable data and insights into the preferences and needs of Western users. These products form Crazy Maple Studio's three-product matrix, where high-quality IPs are produced in three formats.

For instance, in 2023, the hit drama *Fated To My Forbidden Alpha* alone propelled ReelShort's revenue growth.

The show saw its Google Trends index soar to 100, and in Q4 of 2023, it jumped from over **400th** place to **the top spot** on the U.S. iOS entertainment app chart, becoming a key driver for unlocking the U.S. market.



**DramaBox** adopts a strategy where dubbed dramas make up 90% and local dramas 10% of its main product lineup, gradually producing local dramas while relying on dubbed dramas as the primary revenue source.



**Cultural Discount** (Hoskins & Mirus, 1988) refers to the phenomenon where cultural products are devalued in international markets due to cultural differences, leading to a lack of recognition or understanding by audiences in other regions.

**Cultural premium** emerges when foreign content is perceived as novel or relatable, offsetting cultural discount (Gao, 2019). Liu (2025) finds oversea audiences embrace Chinese ancient stories. Integrating the concepts of cultural discount and cultural premium, **cultural adaptation** offers a balanced framework for analyzing the globalization of cultural products (Berry, 1980).

## Current practices reveal a dual-track strategic divergence

### Translated Dramas

Adopting a separation strategy, retaining Chinese-core narratives while adding multinational casts or settings to reduce unfamiliarity (Tong & Jin, 2025)



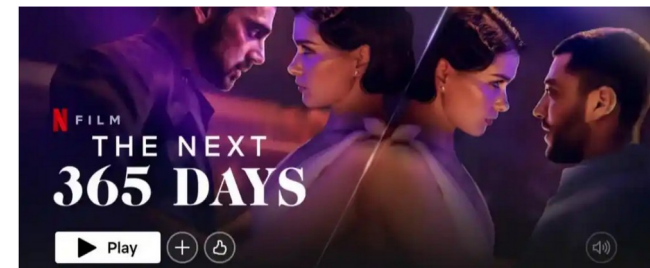
1990



2008

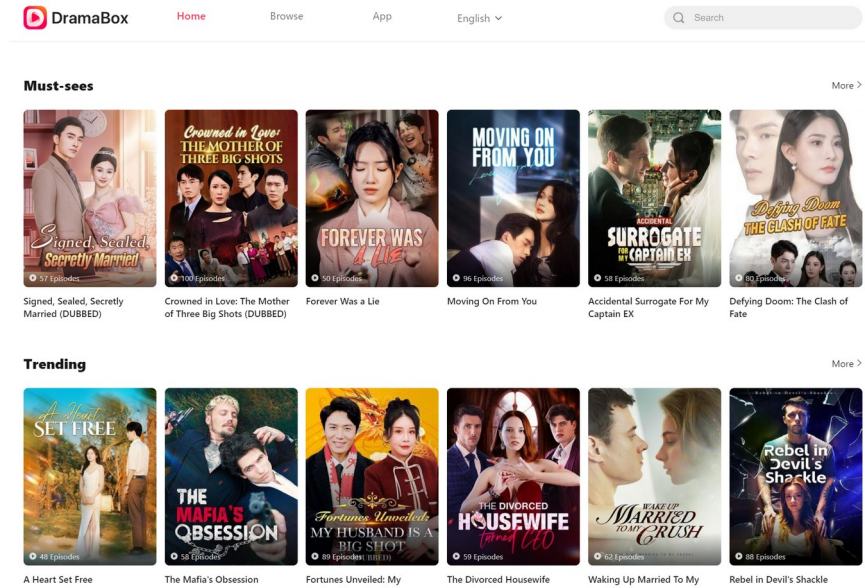
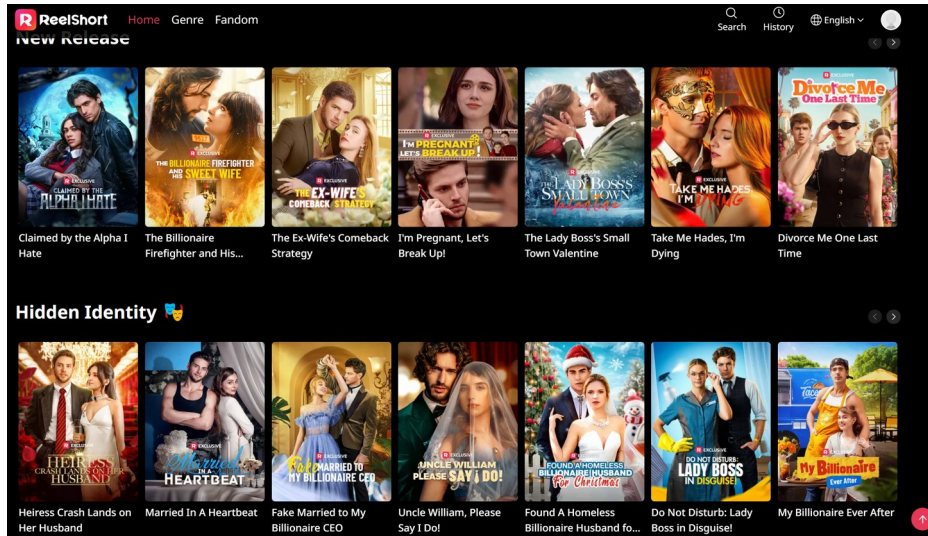


2015



2020

# Research Questions



**RQ1:** What globalization strategies have the two major Chinese micro-short drama companies (ReelShort, and DramaBox) adopted for global expansion in terms of content strategy and commercial model?

**RQ2:** How do these strategies impact the two major companies' revenue and profitability?

**RQ3:** What optimization strategies can the two major companies implement to enhance competitiveness in terms of content strategy and commercial model?

# Platform Content Strategy Analysis



| Platform  | Number and proportion of | Number and proportion of | Total number |
|-----------|--------------------------|--------------------------|--------------|
|           | localized dramas         | translated dramas        |              |
| DramaBox  | 207 (12.34%)             | 1471 (87.66%)            | 1678         |
| ReelShort | 295 (29.38%)             | 709 (70.62%)             | 1004         |

Table 1: Number of micro-short dramas on different platforms

**DramaBox:** 87.66% translated content, focusing on cultural export.

**ReelShort:** 70.62% translated content, 29.38% localized, focusing on local market development.

| Top 10 most tagged  |                  | Top 10 content tags  |                  | Top 10 content tags   |                  |
|---------------------|------------------|----------------------|------------------|-----------------------|------------------|
| content labels      | Number of dramas | for localized dramas | Number of dramas | for translated dramas | Number of dramas |
| Strong Female Lead  | 501              | Revenge              | 66               | Strong Female Lead    | 459              |
| Revenge             | 418              | CEO                  | 58               | Modern                | 358              |
| Modern              | 380              | Love After Marriage  | 47               | Revenge               | 352              |
| Love After Marriage | 271              | Strong Female Lead   | 42               | Family Bonds          | 225              |
| Family Bonds        | 243              | Hidden Identity      | 25               | Love After Marriage   | 224              |
| CEO                 | 230              | Forbidden Love       | 24               | CEO                   | 172              |
| Second Chance       | 146              | Modern               | 22               | Second Chance         | 125              |
| Hidden Identity     | 141              | Second Chance        | 21               | Hidden Identity       | 116              |
| Small Potato        | 112              | Forced Love          | 20               | Small Potato          | 109              |
| Forced Love         | 107              | Family Bonds         | 18               | Forced Love           | 87               |

Table 2 : Top 10 most tagged content labels in DramaBox

| Top 10 most tagged |                  | Top 10 content tags  |                  | Top 10 content tags   |                  |
|--------------------|------------------|----------------------|------------------|-----------------------|------------------|
| content labels     | Number of dramas | for localized dramas | Number of dramas | for translated dramas | Number of dramas |
| Female             | 672              | Female               | 173              | Contemporary          | 530              |
| Contemporary       | 663              | Contemporary         | 133              | Female                | 499              |
| Billionaire        | 488              | Billionaire          | 115              | Billionaire           | 373              |
| Sweet              | 320              | Sweet                | 96               | Sweet                 | 224              |
| Hidden Identity    | 272              | Hidden Identity      | 68               | Hidden Identity       | 204              |
| Revenge            | 231              | Thrill               | 54               | Revenge               | 203              |
| Independent Woman  | 170              | Innocent Damsel      | 52               | Strong-Willed         | 148              |
| Strong-Willed      | 165              | Independent Woman    | 51               | Male                  | 136              |
| Heiress/Socialite  | 154              | Rom-Com              | 38               | Heiress/Socialite     | 122              |
| Male               | 147              | Heiress/Socialite    | 32               | Independent Woman     | 119              |

Table 3 : Top 10 most tagged content labels in ReelShort

## DramaBox

Focus: Cultural export via translation  
Tags: Strong Female Lead, Revenge, Family  
Strategy: Chinese IP + universal values

## ReelShort

Focus: Localization & genre fusion  
Tags: Billionaire, Rom-Com, Thriller  
Strategy: Emotional appeal, low cultural barrier

# Revenue Indicators of Each Platform



## 1) Drama Viewership

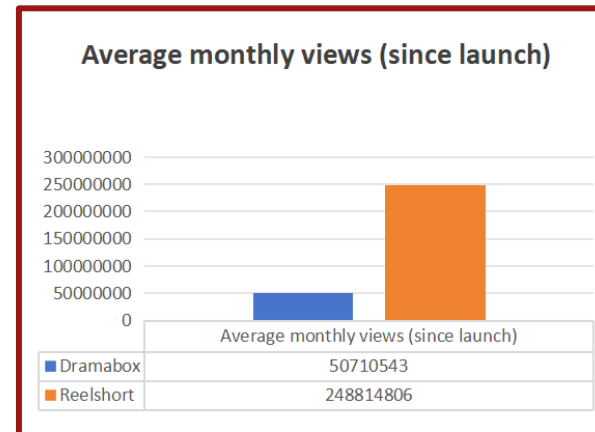
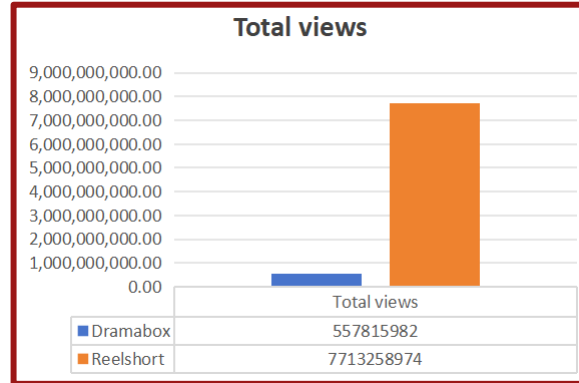
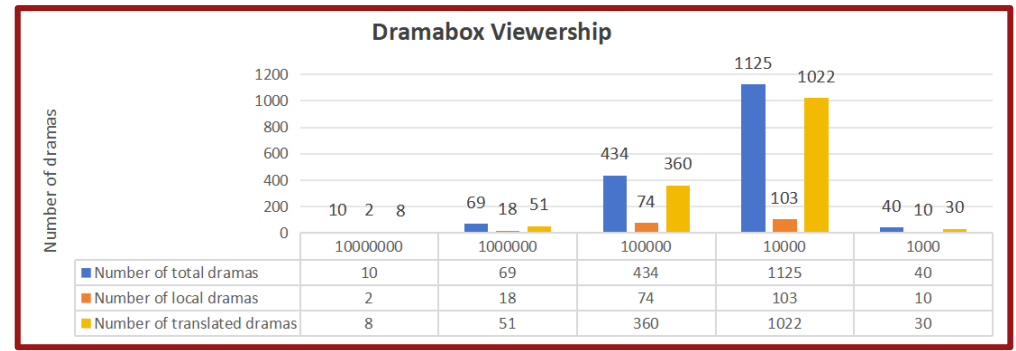
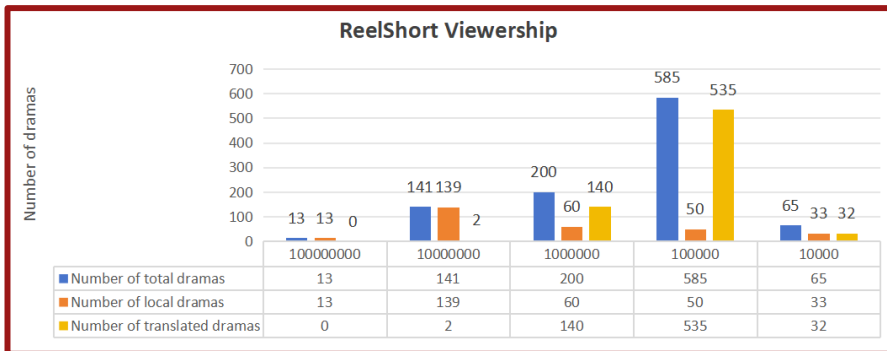


Figure 1: Total views and average monthly views (since launch)

## ReelShort leads in viewership

Launched earlier (Aug 2022) than DramaBox (Apr 2023) ; Higher total and monthly average views



**ReelShort: Localized dramas drive viral hits** **DramaBox: Translated dramas ensure stable, long-tail**

93% of total views from local content

All top 100 dramas are local

Avg views: 24.98M (local) vs 0.48M (translated)

78% of total views from translated content

80% of >10M view dramas are translated

Only 10 dramas exceed 10M views



## 2) Global and Regional Revenue

| Platform  | Global total revenue in 2024 |
|-----------|------------------------------|
| DramaBox  | \$216,805,014                |
| ReelShort | \$208,889,837                |

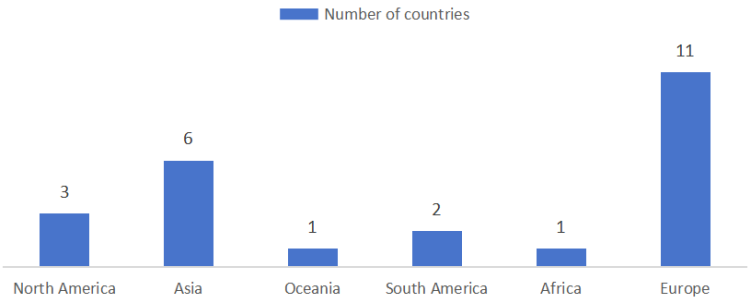
Table 4: Global total revenue of DramaBox and ReelShort in 2024s

**ReelShort: Focuses on English-speaking markets, needs broader global expansion**

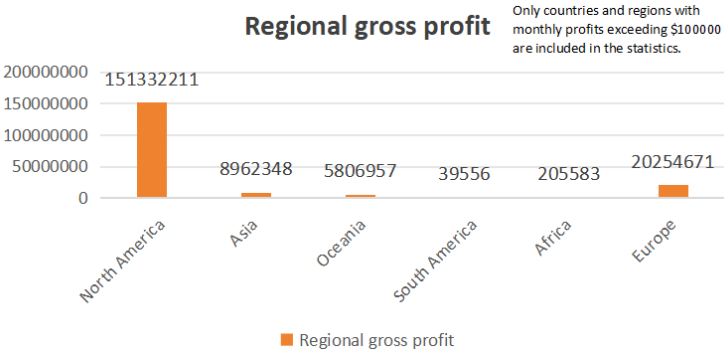
Global revenue: \$208.9M, North America: 72.45% (\$151.3M)

Low performance in Asia, South America, Africa; Highly concentrated in North America

Countries and regions with annual revenue of more than \$100,000 in 2024



Regional gross profit

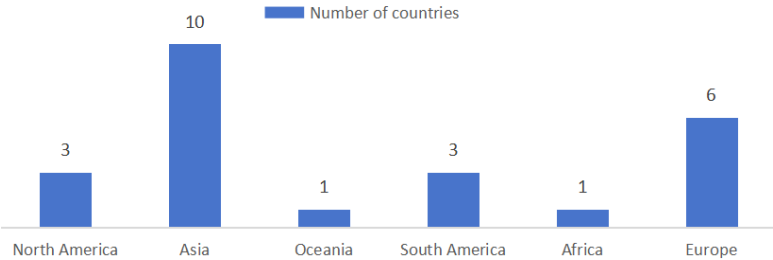


**DramaBox: Translation-based strategy, strong in Asia, globally balanced revenue**

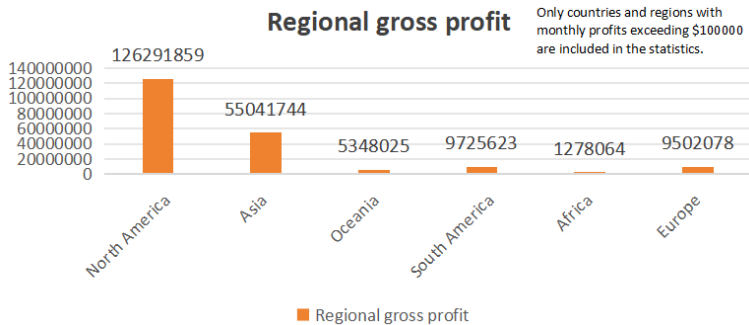
Global revenue: \$216.8M, North America: 58.25% (\$126.3M)

Strong presence in Asia (25.39%); Broad regional distribution, low revenue concentration

Countries and regions with annual revenue of more than \$100,000 in 2024



Regional gross profit





## 3) User Retention Comparison and Revenue Structure

### User Retention

**ReelShort:** Higher Day 1 retention ( $\approx 36\%$ ) but drops sharp

**DramaBox:** Lower short-term retention, but more stable afterwards especially Day 60–90

| ios       | Day 1  | Day 30 | Day 60 | Day 90 |
|-----------|--------|--------|--------|--------|
| ReelShort | 35.78% | 3.36%  | 2.33%  | 2.14%  |
| DramaBox  | 29.57% | 3.76%  | 2.76%  | 2.71%  |

| Android   | Day 1  | Day 30 | Day 60 | Day 90 |
|-----------|--------|--------|--------|--------|
| ReelShort | 36.53% | 3.61%  | 2.57%  | 2.21%  |
| DramaBox  | 30.29% | 3.90%  | 2.92%  | 2.85%  |

Table 5: User retention of ReelShort and DramaBoxs

**ReelShort:**Focus on short-term spikes

70% revenue from pay-per-episode, 30% from subscriptions

**DramaBox:**Prioritizes long-term engagement

60%+ revenue from subscriptions

| \$ In-App Purchases      |          |         | \$ In-App Purchases |          |         |
|--------------------------|----------|---------|---------------------|----------|---------|
| Title                    | Duration | Price   | Title               | Duration | Price   |
| Subscription (Weekly)    | Weekly   | \$19.99 | Membership (Weekly) | Weekly   | \$19.99 |
| One-time Purchase        | One-Time | \$4.99  | Membership (Weekly) | Weekly   | \$17.99 |
| One-time Purchase        | One-Time | \$9.99  | Special offer       | One-Time | \$4.99  |
| One-time Purchase        | One-Time | \$4.99  | Special offer       | One-Time | \$9.99  |
| One-time Purchase        | One-Time | \$19.99 | Special offer       | One-Time | \$19.99 |
| One-time Purchase        | One-Time | \$14.99 | Membership (Weekly) | Weekly   | \$17.99 |
| One-time Purchase        | One-Time | \$24.99 | Membership (Weekly) | Weekly   | \$19.99 |
| One-time Purchase        | One-Time | \$29.99 | Special offer       | One-Time | \$29.99 |
| Premium Package (Weekly) | Weekly   | \$14.99 | Special offer       | One-Time | \$3.99  |
| Subscription (Weekly)    | Weekly   | \$19.99 | Membership (Weekly) | Weekly   | \$17.99 |

Figure 5: The In-App Purchase mode of ReelShort (left) and DramaBox

# Revenue Regression Model



$Rev = \beta_0 MAU^{\beta_1} ARPDAU^{\beta_2}$  from Cobb-Douglas Production Function

## Logarithmic Model

$$\begin{aligned} \log Rev &= \\ &= \log \beta_0 \\ &+ \beta_1 \log MAU \\ &+ \beta_2 \log ARPDAU \end{aligned}$$

- only for  $\beta_0$  comparison

Normalization:

$$\frac{x - \text{mean}}{\text{std}}$$

## Log-Normalized Model

$$\begin{aligned} \log Rev_{norm} &= \\ &= \beta_1 \log MAU_{norm} \\ &+ \beta_2 \log ARPDAU_{norm} \end{aligned}$$

- for  $\beta_1$  and  $\beta_2$  comparison

We established these 2 regression on Dramabox and Reelshort separately, where parameter  $\beta$  represents for:

- $\beta_0$ : “Structural advantages” of a platform apart from MAU and ARPDAU, such as content quality, market positioning, technological barriers etc.
- $\beta_1$ : MAU elasticity, i.e., the percentage change of revenue for every 1% increase in user scale on MAU.
- $\beta_2$ : ARPDAU elasticity, i.e., the percentage change of revenue for every 1% increase in monetization efficiency on ARPDAU.

# Brief Summary of OLS Regression



|                                      | Dramabox          |                     |                | Reelshort          |                     |                |
|--------------------------------------|-------------------|---------------------|----------------|--------------------|---------------------|----------------|
|                                      | Value             | P-value             | Model          | Value              | P-value             | Model          |
| <b>Observations &amp; Time Range</b> | 2023/4/1-2025/3/1 | 19 out of 24 months | Both           | 2022/8/1-2025./3/1 | 26 out of 32 months | Both           |
| <b>Adjusted R<sup>2</sup></b>        | 0.99              |                     |                | 0.997              |                     |                |
|                                      | 1.303             | 0.001               | Logarithmatic  | 1.173              | 0.000               | Logarithmatic  |
|                                      | 1.234             | 0.000               | Log-Normalized | 0.839              | 0.000               | Log-Normalized |
|                                      | 0.352             | 0.000               | Log-Normalized | 0.215              | 0.000               | Log-Normalized |
| <b>R<sup>2</sup> on Test Set</b>     | 0.975             |                     |                | 0.801              |                     |                |

- Train Set & Test Set Split = 8 : 2
- Overfitting Issue: Adjusted R-square near to 1 on train set, for the certain mathematical calculation of revenue
- We perform further diagnosis of residuals.

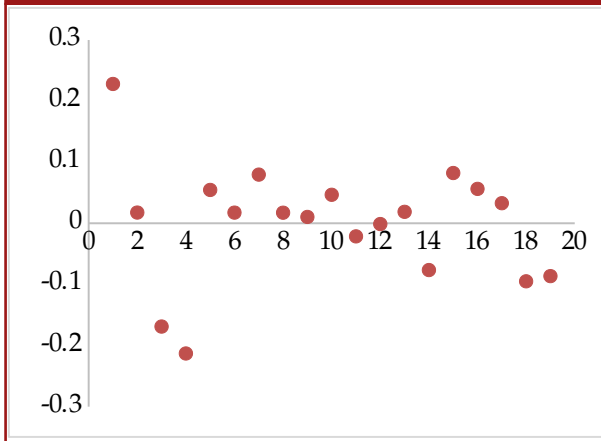
# Model Diagnosis & Residual Test

-preliminary diagnosis of the regression

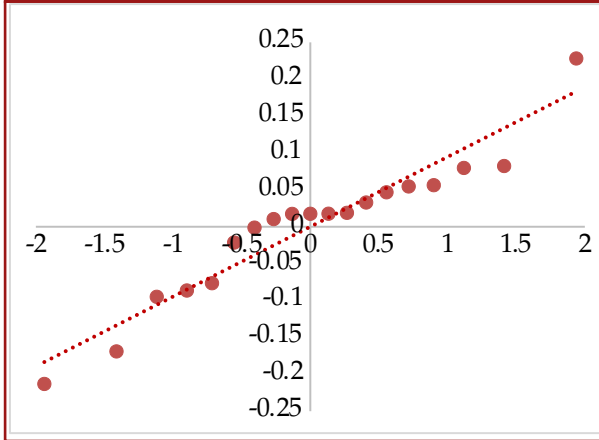


Auto-correlated & Heteroscedasticity & Non-normality

Residual Plot of Dramabox



QQ Plot of Dramabox



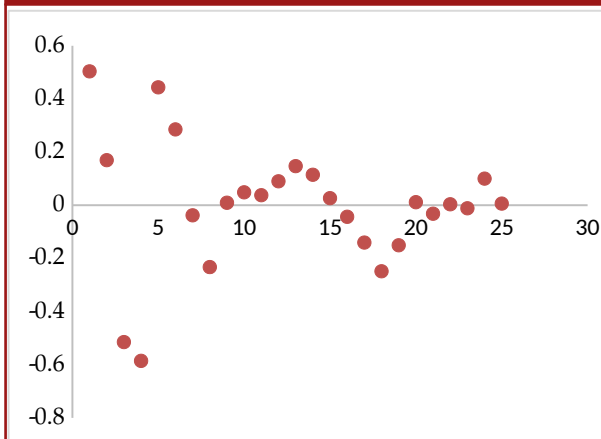
Diagnosis Stats

- DW stat: 1.38
- BP stat: 10.45
  - BP stat p-value: 0.005

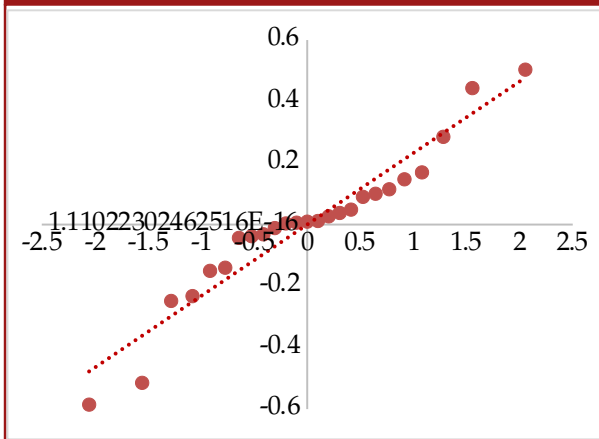
• Model Revision:

GLS (Generalized Least Square) estimator

Residuals Plot of Reelshort



QQ Plot of Reelshort



Diagnosis Stats

- DW stat: 1.38
- BP stat: 10.45
  - BP stat p-value: 0.005

# Summary of GLS Revision Regression



|                                      | Dramabox          |           |                | Reelshort         |           |                |
|--------------------------------------|-------------------|-----------|----------------|-------------------|-----------|----------------|
|                                      | Value             | P-value   | Model          | Value             | P-value   | Model          |
| <b>Observations &amp; Time Range</b> | 2023/4/1-2025/3/1 | 24 months | Both           | 2022/8/1-2025/3/1 | 32 months | Both           |
| <b>Adjusted R<sup>2</sup></b>        | 0.944             |           |                | 0.945             |           |                |
|                                      | 1.289             | 0.001     | Logarithmatic  | 1.134             | 0.000     | Logarithmatic  |
|                                      | 1.15              | 0.000     | Log-Normalized | 0.732             | 0.000     | Log-Normalized |
|                                      | 0.33              | 0.000     | Log-Normalized | 0.18              | 0.000     | Log-Normalized |

- We use the full sample to estimate the parameters.
- A slight difference in estimator results compared to the previous OLS models.

$$Rev = \beta_0 MAU^{\beta_1} ARPD AU^{\beta_2}$$

## $\beta_0$

- The “structural advantages” of a platform apart from user scale (MAU) and monetization efficiency (ARPD AU).
- Comprehensively reflects the hard power of a platform in terms of multiple dimensions:
  - content quality
  - market positioning
  - technological barriers
  - brand value
- **Dramabox (1.289) vs Reelshort (1.173):**
  - 1% significance level
  - Dramabox can achieve higher revenue under the same condition of MAU and ARPD AU
  - Translated dramas enrich the platform with diversity and comprehensive attraction

## $\beta_1$

- The leverage effect of the expansion of the user scale on revenue in terms of percentage
  - 1% significance level
- **Dramabox (1.15) vs Reelshort (0.732):**
  - Dramabox > 1:
    - amplifying effect
    - due to its multicultural attraction among users in diversified cultural context
  - Reelshort < 1:
    - limited effect
    - localized dramas focus more on certain group of audience, such as North America

## $\beta_2$

- The marginal revenue of the payment strategy
  - the platform's monetization efficiency
  - 1% significance level
- **Dramabox (0.33) vs Reelshort (0.18):**
  - Both < 1: Payment strategy need improvement for its low efficiency on earning revenue.
  - Dramabox > Reelshort: long-term subscription drives stable user payment while per-episode payments rely heavily on hot localized dramas

## Conclusion

- Content Strategy:
  - Translated dramas (Dramabox) vs Localized dramas (Reelshort)
- Revenue Structure:
  - Dramabox: balanced global revenue based on subscription mode and long-term users
  - Reelshort: relies on pay-per-episode and short-term traffic
  - The difference reflects their market adaptability and revenue diversification.

## Improvement Strategy

- Localized Drama Strategy:
  - Steady Investment and Risk Control
  - Diversification of Localized Drama Production
- Translated Drama Strategy:
  - Highlight Chinese Cultural Symbols
  - Improve Translation and Localization
  - AI Dubbing and Technological Innovation
- Revenue Model Strategy:
  - Subscription Model Improvement
  - Pay-per-Episode Model Improvement





- Chen, Y. (2009). Cultural hybridity, localization, and transnational flow of TV program formats. *International Journalism*, (10), 61-65.
- De Vaus, D. (2001). *Research design in social research*.
- Fan, J. L., & GUO, S. H. (2023, November 15). Chinese short dramas go global: Crews filming werewolves, actors' salaries reach mid-tier industry levels. *The Paper*.  
[https://www.thepaper.cn/newsDetail\\_forward\\_25628004](https://www.thepaper.cn/newsDetail_forward_25628004)
- Gao, K. (2019). Harmonizing cultural discount and cultural premium to tell Chinese stories: A case study of TV drama *Story of Yanxi Palace*. *Journal of Southwest Minzu University (Humanities and Social Sciences Edition)*, 40(11), 181-188.
- Guangdada. (2024, January 24). The latest dark horse in the short drama industry: Dianzhong Technology's DramaBox is coming strong, with 100,000 pieces of advertising materials crazily invested in December. *Snowball*.  
<https://xueqiu.com/2784660557/276194829>
- Guo, L. C., & Liu, Y. K. (2020). Reducing cultural discount: Three principles to enhance the overseas effect of TV dramas. *Media*, (20), 48-50.
- Hall, E. T. (2010). *Beyond culture* (H. D. K., Trans.). Peking University Press. (Original work published 1976)
- He, I. (2025, March 11). Micro-drama craze in China. <https://varsity.com.cuhk.edu.hk/index.php/2025/03/micro-drama-craze-in-china/>
- Hoskins, C., & Mirus, R. (1988). Reasons for the US dominance of the international trade in television programmes. *Media Culture & Society*, 10(4), 499-515.

# References



- Hu, Z. F. (2001). Strategic goals and countermeasures for the "localization" of Chinese TV program production. *Contemporary Cinema*, (3), 88-91.
- Li, X. (2024). Research on How Dou Yin Micro-Drama Shapes Users Cultural Identity and Social Behavior. *Lecture Notes in Education Psychology and Public Media*. 67(1). 101-105.
- Liu, Z. S. (2025). A composite cultural dimensions model and film communication: An empirical cross-cultural study. *Film Literature*, (3), 34-39.
- Lockett, A., Wiklund, J., Davidsson, P., & Girma, S. (2011). Organic and acquisitive growth: Re-examining, testing and extending Penrose's growth theory. *Journal of management studies*, 48(1), 48-74.
- National Radio and Television Administration. (2022, December 27). Notice on further strengthening the management of online micro-short dramas and implementing a creation enhancement plan.  
[https://www.gov.cn/zhengce/zhengceku/2022-12/27/content\\_5733727.htm](https://www.gov.cn/zhengce/zhengceku/2022-12/27/content_5733727.htm)
- Shejiao Wenyu. (2025, March 20). Chinese short dramas are sweeping the globe: Foreigners are obsessed, and revenue has soared 12 times. 36Kr.  
<https://letschuhai.com/fdf545d5>
- Tong, Y. Y., & Jin, X. (2025). Separation, assimilation, and integration: Cultural adaptation strategies in the globalization of micro-dramas. *Contemporary Television*, (1), 70-76.
- Wang, F. (2024, March 22). Sensor Tower report: Strategies for Chinese short videos going global in 2024. TechNode. <https://cn.technode.com/post/2024-03-22/sensor-tower-short-show-go-out-2024/>

- Xu, J. H., Yuan, Y. H., & Gong, J. K. (2022). Discourse dilemmas and innovative paths in China's international communication practices: Reflections based on cultural context. Chinese Editors, (7), 13.
- Xu, L. J., & Liu, J. H. (2014). Value evolution in cross-cultural communication: Cultural discount and cultural premium. China Publishing, (8), 8–12.
- Yu, G. M. (2020). Three key nodes in cross-cultural communication: A communication perspective on reducing "cultural discount". News and Writing, (3), 63.
- Zeng G. (2024, September 29). Official Release of the "2024 Overseas Short Drama Industry Report". Short Drama Lab.  
<https://mp.weixin.qq.com/s/qX4yY7nrudUI4NrvDftbnw>
- Zeng, Z. H. (2004). Research on localization strategies in television communication [Master's thesis, Huazhong University of Science and Technology].
- Zhang, B. (2024). Research on the mainstream development strategy of online micro-short dramas. Proceedings of the International Conference on Frontiers of Management, Humanities and Social Sciences (ICFMHSS), 109